

Chapter 5

The Dhandho Framework

On the surface, the journeys undertaken by Papa Patel, Manilal, Branson, Mittal, and yours truly are all pretty diverse. The roads we all took, however diverse, all led to similar destinations. Our journeys share a number of core principles. It is these nine principles that constitute the Dhandho framework:

1. FOCUS ON BUYING AN EXISTING BUSINESS.

When Papa Patel decided to become an entrepreneur, he did not go out and start a brand-new business. He bought an existing business with a well-defined business model and one with a long history of operations that he could analyze. This is waaaaaaaay less risky than doing a startup. Manilal and Mittal did the same.

2. BUY SIMPLE BUSINESSES IN INDUSTRIES WITH AN ULTRA-SLOW RATE OF CHANGE.

It is unlikely Papa Patel had ever even heard of Warren Buffett in the early 1970s. While being raised in environments that could not be more different, each reached the same conclusion: buy simple businesses with ultra-slow long-term change.